

**HOW TO OPEN AN
ASSISTED LIVING HOME
FOR ADULTS WITH BRAIN INJURY
IN ARIZONA**

*An ADHS-Licensed Assisted Living Home Providing Directed Care
Funded through the Arizona Long Term Care System (ALTCS)*

A step-by-step startup and operations guide
Manager certification • Licensing • AHCCCS/ALTCS contracting • Billing

Regulatory basis: Arizona Administrative Code, Title 9, Chapter 10, Article 8 (Assisted Living Facilities);
A.R.S. Title 36; Arizona Long Term Care System (ALTCS) under AHCCCS.

How to Use This Guide

This guide walks you through opening and operating a home in Arizona that provides residential care to adults with brain injury. In Arizona, that home is licensed by the Arizona Department of Health Services (ADHS) as an Assisted Living Home (ten or fewer residents) or Assisted Living Center (eleven or more), authorized to provide Directed Care, and it is paid through the Arizona Long Term Care System (ALTCS) by contracting with the ALTCS health plans. There is one path: you get the home licensed, certify a manager, and contract as a provider yourself. This guide is written for that path.

Important — verify before you act

This guide is an educational resource, not legal, financial, tax, or regulatory advice.

Requirements, forms, and fees change. Confirm every step directly with ADHS (Residential Facilities Licensing), the Arizona State Board of Examiners for Nursing Care Institution Administrators and Assisted Living Facility Managers (NCIA Board), and AHCCCS/ALTCS before you act.

Arizona is a managed-care state. Your payment rate is set in your contract with each ALTCS health plan, not by a single public fee schedule — see Part 9.

Part 1 — What This Business Is

An Arizona brain injury residential home is an Assisted Living Home or Assisted Living Center licensed by ADHS under Arizona Administrative Code, Title 9, Chapter 10, Article 8. Arizona draws the line by size: an assisted living home serves ten or fewer residents; an assisted living center serves eleven or more. Assisted living facilities are licensed to provide one or more levels of care — supervisory care, personal care, and directed care — tied to how much help residents need with activities of daily living.

Directed Care — the level that serves brain injury

Adults with brain injury who cannot direct their own care are served under Directed Care (R9-10-815). Directed care includes all personal care plus services and activities that provide cognitive stimulation to maximize functioning, strategies to ensure the resident's personal safety, and measures to keep a resident who may wander safe. Importantly, a resident with a primary diagnosis of traumatic brain injury who is receiving directed care and is prescribed a psychotropic medication is not, on that basis alone, treated as needing behavioral health services (R9-10-808(F)) — so a brain-injury resident is properly served in a directed-care assisted living home.

If you serve residents who wander

If your residents are at risk of leaving unsafely, and you restrict egress or advertise memory care, you obtain the ADHS memory care authorization and meet its added requirements: dementia- and brain-injury-specific programming and staff training, physical safeguards that limit elopement, a secure layout, periodic physician review of continued placement, and a documented response for a missing resident.

Part 2 — Who Regulates You

Three entities govern the home, and you will work with all three:

- **ADHS — Arizona Department of Health Services, Residential Facilities Licensing.** Licenses your assisted living home or center, sets the Article 8 operating standards, and conducts the licensing inspection.

- **AHCCCS / ALTCS.** AHCCCS is Arizona's Medicaid agency; ALTCS is its long-term care program. ALTCS is a managed-care (1115) program — you register as an AHCCCS provider and contract with the ALTCS health plans that actually pay you.
- **ALTCS health plans (Program Contractors) and case managers.** Managed-care organizations that contract with your home, and case managers who determine each member's needs and authorize services.

The NCIA Board

The Arizona State Board of Examiners for Nursing Care Institution Administrators and Assisted Living Facility Managers (the “NCIA Board”) issues the assisted living facility manager certification your manager must hold (Part 5).

Part 3 — Business and Insurance Setup

- Form your business entity with the Arizona Corporation Commission and keep your organizing documents — ADHS requires ownership and controlling-person information on the application.
- Secure the home (lease or purchase) and confirm local zoning permits a residential care use at the address.
- Obtain the liability and other insurance appropriate to an assisted living operation.
- Identify all owners and controlling persons — you will disclose them, and they and your staff will need fingerprint clearance.

Part 4 — The Home: Physical Plant and Fire Safety

Your building must meet the Article 8 physical-plant and safety standards (R9-10-818, R9-10-820).

Physical plant and safety checklist

- ☐ Resident sleeping rooms meet the required floor area and occupancy limits; each resident has a bed and personal storage.
- ☐ Bathrooms are provided in the required ratio to residents, with grab bars and safety features as needed.
- ☐ Common areas for dining and activities; adequate lighting, ventilation, and comfortable temperature.
- ☐ A safe, accessible layout for residents using auxiliary aids (walkers, wheelchairs).
- ☐ Functioning smoke detectors, tested and documented at least monthly (R9-10-818(F)).
- ☐ A written disaster and evacuation plan, with documented evacuation drills (R9-10-818(A)).
- ☐ Poisons, chemicals, and cleaning agents stored to prevent resident access; hot water at a safe temperature; oxygen handled safely.
- ☐ If restricting egress / providing memory care: secure layout and elopement safeguards (see Part 1).

Part 5 — Step 1: Certify Your Manager

Every assisted living facility must be run by a certified manager. Your manager (who may be you) must be at least 21 and hold an assisted living facility manager certificate issued under A.R.S. § 36-446.04(C) by the NCIA Board.

- Step 1.** Complete the NCIA Board / ADHS-approved assisted living facility manager training program.
- Step 2.** Pass the required manager certification examination and meet the Board's application and background requirements.
- Step 3.** Obtain your manager certificate (or a temporary certificate under A.R.S. § 36-446.06 while completing requirements), and keep it current with continuing education and renewal.

Tip: Certify your manager early — you cannot operate without a certified manager, and it is a prerequisite ADHS expects at licensing.

Part 6 — Step 2: Get Your ADHS Assisted Living License

Applications and renewals are submitted electronically through the ADHS Licensing Management System (LMS); ADHS no longer accepts paper forms.

- Step 1.** Create your account in the ADHS Licensing Management System (LMS) and start the assisted living home (or center) application.
- Step 2.** Complete the application with all required attachments: ownership and controlling-person information; the certified manager; floor plans; and your policies and procedures compliant with Article 8.
- Step 3.** Ensure fingerprint clearance: every owner, manager, caregiver, assistant caregiver, contractor, and volunteer obtains a valid Fingerprint Clearance Card under A.R.S. § 36-411, and you check staff against the Adult Protective Services (APS) Registry.
- Step 4.** Pay the applicable license fee and schedule your reviews.
- Step 5.** Pass the ADHS pre-licensure inspection (and any required fire inspection). Once you pass and resolve any deficiencies, ADHS issues the license.

Where your manual and forms fit

The application requires complete Article 8 policies and procedures. Your Policy & Procedure Manual and the companion Forms Packet are built to that requirement (all 39 required-policy areas of R9-10-803(C)) and to your ongoing compliance — have them ready before you apply.

Part 7 — Step 3: Enroll with AHCCCS and Contract with the ALTCS Health Plans

Being licensed lets you operate; getting paid by Medicaid requires enrolling with AHCCCS and contracting with the ALTCS health plans.

- Step 1.** Register as an AHCCCS provider and obtain your National Provider Identifier (NPI).
- Step 2.** Contract with the ALTCS Program Contractors (health plans) that serve your area — this is what authorizes you to receive ALTCS-funded residents and to be paid. You may contract with more than one plan.
- Step 3.** Once contracted, accept resident referrals: an ALTCS member's case manager assesses needs and authorizes the assisted living service; you provide care and bill the member's health plan under your contract.

Note: ALTCS pays for the care and services, not the resident's room and board — the resident is responsible for room and board (often paid from the member's income up to program limits).

Part 8 — Staffing, Caregivers, and Training

Manager and caregivers

- Certified manager (Part 5), accountable for daily operations; a designated caregiver (21+) is present and accountable when the manager is off the premises.
- Caregivers are at least 18 and complete an ADHS- or NCIA-Board-approved caregiver training program (or hold an allowed alternative qualification); assistant caregivers are at least 16 and work under supervision.
- Current first aid and adult CPR certification before providing services (an assisted living home may use Red Cross, American Heart Association, or National Safety Council).
- Fingerprint Clearance Cards (A.R.S. § 36-411) and APS Registry checks for staff; freedom from infectious tuberculosis for staff with more than eight hours per week of resident contact.

Coverage and brain-injury competence

- Awake or hear-and-respond coverage as required by license type, with a documented process for checking on directed-care residents during nighttime hours, and a backup-staffing plan.
- Orientation and in-service education include brain-injury competencies: cognitive stimulation, personal-safety and wander-safety measures, responding to sudden or out-of-control behavior, and communication strategies.

Part 9 — Billing and Getting Paid: the ALTCS Managed-Care Model

This is where Arizona differs most from states with a single published rate. Arizona long-term care runs through managed care, so you are paid by the resident's ALTCS health plan under your contract, not by billing a fixed statewide fee schedule.

How payment works

- An ALTCS member is assigned to an ALTCS health plan (Program Contractor); the member's case manager authorizes the assisted living service.
- You provide the directed-care assisted living service and submit claims to that health plan under your provider contract, using your NPI and the required claim form and service coding.
- ALTCS covers the care and services; the resident is responsible for room and board.

Why there is no single per-diem to quote here

Arizona does not publish one statewide assisted living per-diem. Your rate is negotiated with, and set in your contract with, each ALTCS health plan.

AHCCCS does publish a Capped Fee Schedule (the maximum, most recently effective October 1, 2025, and updated annually) that applies to HCBS service codes; a negotiated rate generally cannot exceed that cap. AHCCCS also states that a posted code and rate “is not an indication of coverage, nor a guarantee of payment.”

So, to give you an accurate number rather than a made-up one: confirm your actual per-diem in your provider contract with each ALTCS health plan, and check the current AHCCCS Capped Fee Schedule for the applicable ceiling. Rates and the fee schedule are updated at least annually (October 1).

Part 10 — Timeline, Costs, and Getting Your First Residents

Rough sequence

Plan for several months from start to first paid resident: form your entity and secure/prepare the home → certify your manager → complete the ADHS application in the LMS with policies, floor plans, and fingerprint clearances → pass the ADHS (and fire) inspection and receive your license → register with AHCCCS and contract with the ALTCS health plans → accept case-manager-authorized referrals and bill. Verify current timeframes with ADHS and AHCCCS.

Typical startup costs to budget

- The home (lease or purchase) and any modifications, furnishings, and life-safety systems;
- Manager certification and caregiver training; fingerprint clearance cards; first aid/CPR;
- Insurance and business setup; the ADHS license fee (verify current);
- Your Policy & Procedure Manual and Forms Packet.

Getting your first residents

Once you are licensed and contracted, ALTCS members reach you primarily through their health plans and case managers. Build relationships with the ALTCS Program Contractors in your area, hospital and rehabilitation discharge planners, and brain-injury case managers, so members who need directed care and are at the nursing-facility level of care are referred to your home.

Your Compliance Foundation

Opening the home is the first milestone; staying compliant with Article 8 is the ongoing work. Two companion resources are built to that end: a Policy & Procedure Manual that covers every required-policy area of R9-10-803(C) and the operating standards of Article 8, and a Forms Packet containing the forms your policies reference. Together they give you the documentation backbone an ADHS inspection expects.

Before you rely on any step in this guide

Verify current requirements, fees, forms, and rates with ADHS (Residential Facilities Licensing), the NCIA Board, and AHCCCS/ALTCS.

Confirm your payment rate in your provider contract with each ALTCS health plan, and check the current AHCCCS Capped Fee Schedule for the applicable ceiling (updated at least annually, October 1).